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ECONOMIC SURVEYS BY THE OECD

NETHERLANDS

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APRIL 1964

ORGANISATION FOR ECONOMIC
CO-OPERATION AND DEVELOPMENT

PARIS

NETHERLANDS

BASIC STATISTICS

THE LAND

Area (1,000 sq.km)	33,6
Agricultural area, 1962 (1,000 sq.km)	25,6
Woodland, 1962 (1,000 sq.km)	2,7

Major cities, 1963 (thousands of inhabitants) :

Amsterdam	867
Rotterdam	731
The Hague	604
Utrecht	261

THE PEOPLE

Population, 1963 (thousand)	11,889
No of inhabitants per sq.km, 1963	354
Net natural increase (average 1956-62)	152,713
Net rate of increase per 1,000 inhabitants (average 1956-62)	13,4
Net emigration (average 1956-62)	2,527
Total labour force, 1961 (men/year)	4,455,000
Wage and salary earners, 1961 (men/year)	3,534,000
Wage and salary earners in agriculture, 1961 (men/year)	109,000
Wage and salary earners in manufacturing industrie, 1961 (men/year)	1,205,000

PRODUCTION

Gross national product, 1963 (millions of guilders)	51,620
G.N.P. per head, 1963 (U.S.$)	1,199
Gross fixed investment (average 1958-63) :	
— percentage of G.N.P.	24
— per head (U.S. $)	244

Gross national product at factor cost by origin in 1962:

— Agriculture	9 %
— Industrie and construction	42 %
— Other	49 %

THE GOVERNMENT

Current government expenditure on goods and services, 1962 (percentage of G.N.P.)	30
Current government revenues 1962 (% of G.N.P.)	35
Central government debt, 1962 (percentage of Central Government current revenues)	181

Composition of the Second Chamber:

— Catholic popular party	32 %
— Labour party	28 %
— Liberal party	10 %
— Anti-revolutionary party	9 %
— Christian-historian party	9 %
— Other	12 %

Last elections: 1963
Next elections: 1967

LIVING STANDARDS

Calories per head per day, 1961-62	3,030
Average hourly earnings of workers in industry, April 1962	245 cents
Number of private cars per 1,000 inhabitants, 1962	62
Number of telephones per 1,000 inhabitants, 1962	150
Number of radio sets per 1,000 inhabitants, beginning of 1963	211
Number of T.V. sets per 1,000 inhabitants, beginning of 1963	106
Public expenditure on arts, sciences and post-school education (percentage of national income 1959)	6.51

FOREIGN TRADE

EXPORTS:

Exports of goods and services, including income payments from the rest of the world as a percentage of the G.N.P. (average 1958-63)	52
Main exports in 1963 (percentage of total exports):	
— Machinery and transport equipment	21
— Petroleum products	10
— Textile products (including clothing)	10
— Chemical products	9
— Dairy products, eggs, honey	7

IMPORTS:

Imports of goods and services, including income payments to the rest of the world as a percentage of the G.N.P. (average 1958-63)	49
Main imports in 1963 (percentage of total imports):	
— Machinery and transport equipment	26
— Food, drink, tobacco	14
— Mineral fuels	12
— Textiles	11
— Chemical products	6

THE CURRENCY

Monetary unit: Guilder

Currency units per U.S. $ 3,62

ECONOMIC SURVEYS BY THE OECD

NETHERLANDS

ORGANISATION FOR ECONOMIC CO-OPERATION AND DEVELOPMENT

The Organisation for Economic Co-operation and Development was set up under a Convention signed in Paris on 14th December 1960 by the Member countries of the Organisation for European Economic Co-operation and by Canada and the United States. This Convention provides that the O.E.C.D. shall promote policies designed:

- *to achieve the highest sustainable economic growth and employment and a rising standard of living in Member countries, while maintaining financial stability, and thus to contribute to the development of the world economy;*
- *to contribute to sound economic expansion in Member as well as non-member countries in the process of economic development;*
- *to contribute to the expansion of world trade on a multilateral, non-discriminatory basis in accordance with international obligations.*

The legal personality possessed by the Organisation for European Economic Co-operation continues in the O.E.C.D., which came into being on 30 September 1961.

The Members of O.E.C.D. are: Austria, Belgium, Canada, Denmark, France, the Federal Republic of Germany, Greece, Iceland, Ireland, Italy, Luxembourg, the Netherlands, Norway, Portugal, Spain, Sweden, Switzerland, Turkey, the United Kingdom and the United States.

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NETHERLANDS

INTRODUCTION

1. In spite of a harsh winter the expansion of economic activity was sustained in 1963, the Gross National Product growing by 4 per cent (in volume) compared with 2.7 per cent in 1962. From the middle of the year there was a definite recovery in demand, after some hesitation in earlier months which was clearly connected with the bad weather. Overall equilibrium was nonetheless maintained during the greater part of 1963. The rise in prices, sharper than in 1962, was attributable in the main to dearer foodstuffs and services (especially rents). Wage increases were no greater than in the preceding year and the balance of current payments has continued to show a surplus, altough a considerably smaller one than in 1962.

2. Towards the middle of the year, however, equilibrium seemed to become more uncertain, and tensions on the labour market increased in particular. It was against this background that the wage increases for 1964 were decided which considerably surpassed both what had been initially foreseen in September 1963 when the economic budget for 1964 was drawn up, and the trend since the end of the war. In order to curb inflationary pressure and stop demand getting out of hand in the coming months, the authorities adopted more restrictive policies from the autumn onwards, reinforcing their control of prices while seeking to make the supply of labour more elastic.

3. Bearing in mind these policy and private decisions, the prospects for 1964 now look considerably different from those foreseen in September 1963. There should in particular be a much faster growth in wages and prices, a strong upward surge in private internal demand (consumption and investment), a slowing down in public demand, and a marked deterioration in external trade. For the time being the Netherlands authorities do not consider that this situation calls for further action; but if the disequilibria grow worse by the end of 1964, the authorities will probably be led to reinforce the stabilization measures already taken.

I. THE GENERAL SITUATION IN 1963

Supply

4. The new official indices of industrial production showed a rise of 4.5 per cent in 1963 compared with 5.6 per cent in 1962. The results reflect the harshness of the winter in the first quarter. The most striking progress was in the paper industry (+ 11.9 per cent), the textile industry (+ 9,8 per cent), the chemical industry (+ 6.7 per cent) and the food industry (+ 4,3 per cent). As a result of the bad weather early in the year the output of the building industry expanded by only 4 per cent for the whole year, whereas an increase of some 5 per cent had been counted on. However, strenuous efforts were made in the second quarter to make good the shortfall, and this led to a marked increase in the recruitment of labour. The prolonged frosts also handicapped agricultural output, which fell in volume by 2 to 3 per cent compared with 1962. In total, and allowing for the expansion of services, the Gross National Product increased by 4.5 per cent.

5. The easing of the labour market expected in 1963 because of the considerable growth of the active population did not take place. This was due mainly to the absorption of manpower by the building industry, which served to aggravate the employment situation. The increase in the active population (+ 1.5 per cent) and the number of workers leaving agriculture — the labour force in this sector decreased by about 2.5 per cent — mainly benefited the construction industry[1], which enlarged its labour force by 6 to 7 per cent, whereas manufacturing industry took on only 1 per cent more workers and services 2 per cent. The exodus of frontier workers to Germany again increased but is thought to represent at present not more than 0.5 per cent (i.e. about 25,000) of the total labour force.

6. Generally speaking industry (excepting again building) does not seem to have been handicapped by a shortage of production capacity.

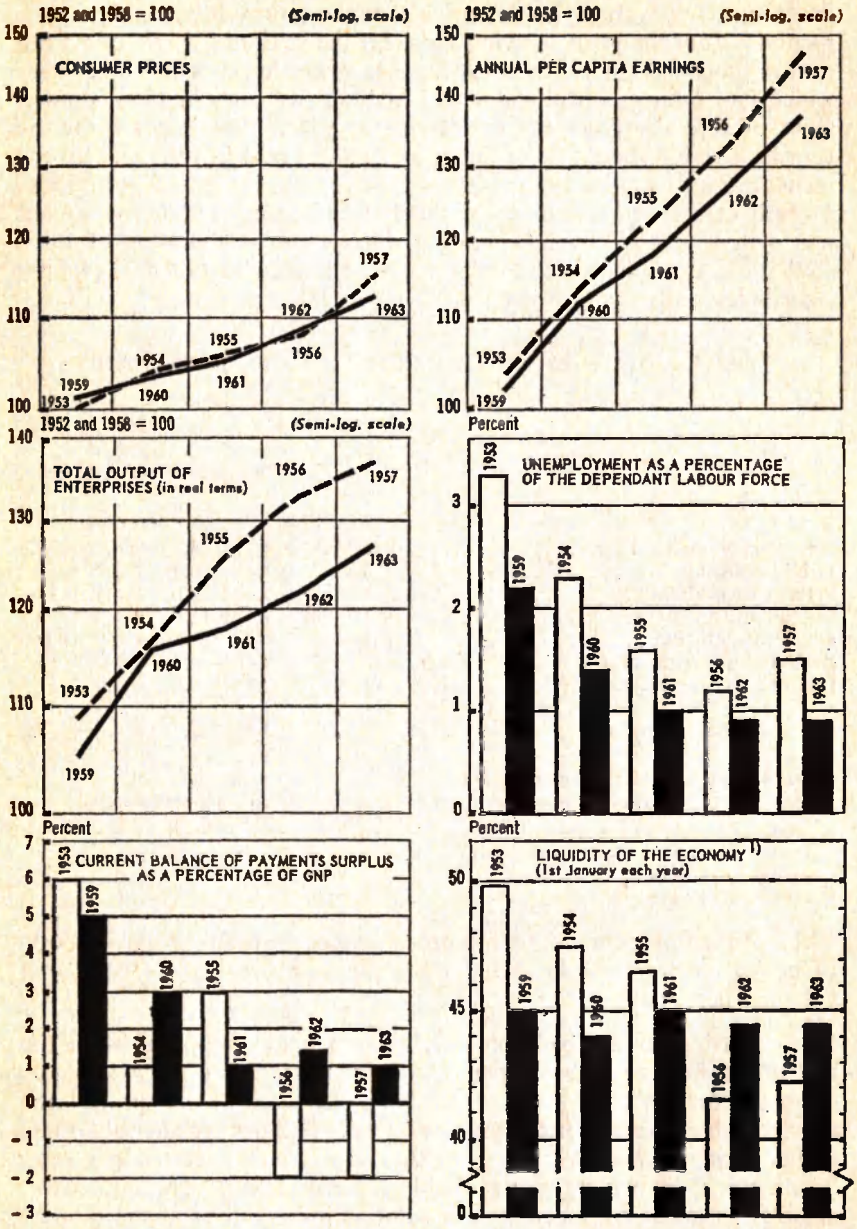
Demand

7. The expansion of demand, after being affected by the bad weather early in the year, quickened during the second half of 1963.

8. Encouraged by the growth of incomes and stimulated by the tax reductions of July 1962, the rise in private consumer expenditure, especially noticeable in the second half of the year, was more vigorous than in 1962 (+ 6,8 per cent in volume compared with + 4.2 per cent). But in spite of an increase in defence expenditure, public consumption

1. Its labour force accounts for some 10 per cent of the total active population.

Diagram 1. THE MOVEMENTS OF SELECTED ECONOMIC INDICATORS IN TWO PERIODS OF EXPANSION



1. The ratio of money and quasi-money in circulation to National Income.

Sources: Central Planning Bureau, O.E.C.D. General Statistics, Netherlands Bank.

spending rose somewhat less rapidly than in the preceding year (+ 3 per cent against 6 per cent).

9. After slowing down during the exceptionally severe winter, gross fixed investment in the private sector increased strongly in the second half of the year, showing a rise for the year as a whole of 6.5 per cent (at constant prices) over 1962. Investment in plant and machinery which had been practically stagnant in 1962 and early in 1963, showed signs of recovery from the middle of the year. The increase for the year as a whole should be of the order of 8 per cent in volume. Investment in the transport sector increased in volume by only 5 per cent as a result of reduced purchases of ships and aircraft. Public investment was also hampered by bad weather during the first months of 1963, so that the yearly increase in volume was well below that of 1962 (4.5 per cent compared with 11.8 per cent).

TABLE 1. CHANGES IN THE COMPOSITION OF DEMAND

	1960	1961	1962	1963	1964
	Millions of Guilders	*% change in volume compared with the previous year*			
Private consumption	24,169	+ 4.7	+ 4.2	+ 6,8	+ 6.5
Public consumption	5,803	+ 3.8	+ 6.3	+ 3,0	+ 1
Private investment	8,323	+ 5.4	+ 2.6	+ 6.5	+ 13
Public investment	1,750	+ 9.4	+ 11.8	+ 4.5	+ 3.5
Change in stocks[1]	1,415	− 115	− 700	− 150	+ 660
Exports of goods and services	22,601	+ 4.4	+ 6.6	+ 7.0	+ 5.7
Imports of goods and services	21,329	+ 7.1	+ 6.6	+ 9.0	+ 11.2
Gross National Product	42,732	+ 3.1	+ 2.7	+ 4.5	+ 5.2

1. Millions of guilders at current prices.

Source: Netherlands memorandum to the O.E.C.D. and the Central Planning Bureau.

EXTERNAL TRADE

10. External demand was more buoyant than in 1962. Exports of goods and services increased by 7 per cent (in volume) compared with 6.6 per cent.

11. Owing to the bad weather, exports made no progress in the first quarter of the year compared with the last quarter of 1962 (figures corrected for seasonal variations). They recovered in the spring however and the increase for the year as a whole (8.2 per cent in value) was higher than between 1961 and 1962, when it was only 6.4 per cent. The increase in volume was probably somewhat less. These increases are due to a rise of 7 per cent in sales of industrial products (almost all industries shared in the expansion except motor fuels, ship-building,

and non-electrical machinery) and to a growth of 12 per cent in exports of agricultural products — these were helped by the cold weather in neighbouring countries which caused prices to rise sharply. Exports to E.E.C. countries expanded much more rapidly than to the other O.E.C.D. countries, by 17 per cent compared with 11 per cent. A sharp rise in exports to France and Italy was especially noticeable, owing to the inflationary pressures in these two countries.

12. Imports expanded more rapidly than exports (+ 11.6 per cent in value and 10.5 per cent in volume). Purchases abroad were mainly of consumer goods and to a lesser extent of raw materials and semi-finished products. Imports coming from E.E.C. countries accounted for a larger share of purchases abroad: 52 per cent compared with 50 per cent in 1962.

TABLE 2. TRENDS IN FOREIGN TRADE

PERCENTAGE CHANGE COMPARED WITH THE CORRESPONDING PERIOD OF THE PREVIOUS YEAR

	1961	1962	1963	
			1st HALF YEAR	2nd HALF YEAR
A. IMPORTS:				
Foodstuffs, drink and tobacco	0.6	5.5	2.0	31.3
Chemical products	−3.3	4.2	9.1	18.6
Mineral fuels	6.7	4.1	6.8	3.7
Textile raw materials and products	14.4	0.4	16.5	27.8
Iron and steel and semi-finished products	−6.0	−9.9	3.6	8.4
Machinery and transport equipment	24.0	11.2	5.8	13.0
B. EXPORTS:				
Food products	−3.5	8.0	13.5	4.2
Mineral fuels	4.4	4.3	−8.6	−5.0
Chemical products	4.5	7.2	2.7	17.5
Textile raw materials and products	5.4	5.6	9.2	15.6
Non-electric machinery and transport equipment	7.2	16.6	4.3	14.1
Electrical equipment	9.7	3.5	9.4	12.2

Source: Maandschrift van het C.B.S.

13. The deficit on the trade balance for the year as a whole (customs returns) worsened, rising from $ 768 million in 1962 to $ 1,006 million in 1963.

14. Official gold and foreign exchange reserves nevertheless grew at a much faster rate in 1963 than in the preceding year (+ $ 156 million compared with + $ 28 million, or 10 per cent compared with 2 per

cent). The surplus on the basic balance[1] remained practically the same as in 1962 ($ 66 million compared with $ 73 million) but it should be noted that a part of the sums under the residual item are for transactions which have not yet been broken down. The faster growth of the official reserves is traceable mainly therefore to variations in the terms of payments. The balance of current payments continued to show a certain surplus ($ 77 million) but it was much less than in the previous year ($ 185 million). There were some advance redemptions of long-

TABLE 3. NETHERLANDS BALANCE OF PAYMENTS

In millions of dollars.

	1961	1962	1963[1]	1963[1] 1st HALF YEAR	1963[1] 3rd QUARTER	1963[1] 4th QUARTER
1. Official gold and foreign exchange reserves	− 27	+ 28	+ 156	+ 95	+ 15	+ 46
2. Current balance (on a transactions basis)	*220*	*185*	*77*	*− 67*	*103*	*41*
a) visible balance (f.o.b.)	− 349	− 277	− 440	− 252	− 35	− 153
b) invisible transactions	547	450	514	181	138	195
c) private transfers	22	12	3	4	—	− 1
3. Official grants	*− 41*	*− 47*	*37*	*− 6*	*38*	*5*
a) transfers of income	− 25	− 38	23	− 1	17	7
b) transfers of capital	− 16	− 9	14	− 5	21	− 2
4. Public long-terme capital	*− 103*	*− 60*	*− 100*	*− 14*	*− 71*	*− 15*
a) ordinary	− 57	− 30	− 30	− 14	− 1	− 15
b) extraordinary	− 46	− 30	− 70	—	− 70	—
5. Private long-terme capital	*− 165*	*− 35*	*− 18*	*41*	*− 3*	*− 56*
a) ordinary	− 165	− 35	− 18	41	− 3	− 56
b) extraordinary	—	—	—	—	—	—
6. Public short-term capital	*4*	*− 5*	—	*− 2*	*− 1*	*3*
7. Private short-term capital	*112*	*8*	*15*	*10*	*− 30*	*35*
a) commercial banks	97	25	− 10	− 41	− 46	77
8. Operations with the I.M.F.	− 122	40	—	5	− 5	—
9. Operations with the European Fund	—	—	—	—	—	—
10. Residual item	68	− 58	145	128	− 16	33
11. Total (11 = 1)	− 27	28	156	95	15	46
12. Basic balance (12 = 2 + 3 + 4a + 5)	− 43	73	66	− 46	137	− 25

1. Rough estimate.
Source: Netherlands Bank.

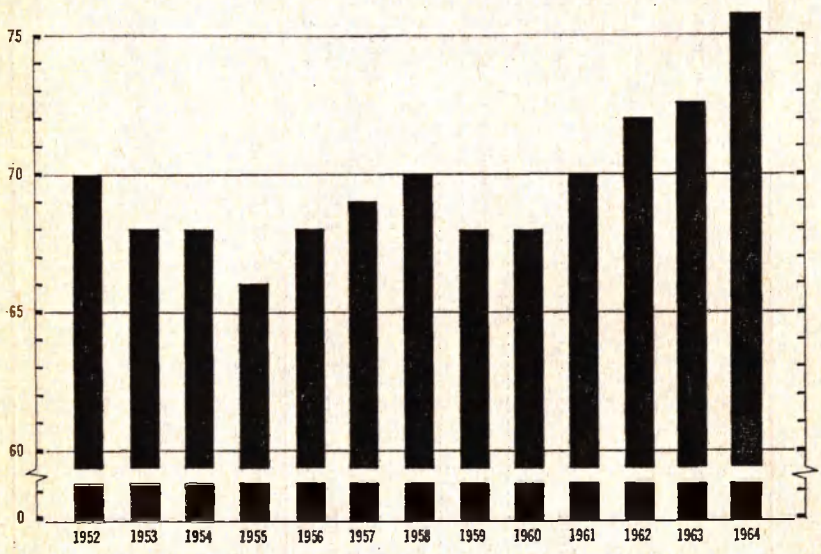
1. The basic balance records transactions in goods and services, official grants and ordinary movements of long-term public and private capital.

term public debt, while net inflows of foreign exchange in the form of official grants replaced net outflows, and net exports of private capital were reduced.

Prices and Wages

15. Prices rose much more in 1963 than in 1962. The cost-of-living index showed an increase of 3.8 per cent compared with 1.9 per cent between 1961 and 1962. The index of wholesale prices rose by 2.2 per cent compared with 1962 (as against + 0.7 per cent between 1961 and 1962). After a jump caused by the effect of frost on fruit and vegetable prices, the cost-of-living index showed a seasonal fall during the summer, rose slightly in the autumn, and levelled off in the last months of the year. It is difficult to see in these upwards movements an effect of the rise in labour costs or a sign of overall imbalance between supply and demand. In fact, apart from the bad weather, the rise in the cost of living was mainly caused by agricultural policy measures (agricultural price support and especially higher prices of dairy products) and by dearer services. This is borne out by the trend of wholesale prices of raw materials and manufactured products, which have risen by an average of only 1.3 per cent and 2.1 per cent respectively from one year to the next, in spite of higher import prices.

Diagram 2. SHARE OF WAGE IN NATIONAL INCOME[1]



1. Ratio of wages per head in enterprises to national income at factor cost per head of the labour force.

Source: Central Planning Bureau.

TABLE 4. PRICE TRENDS IN THE NETHERLANDS

	WEIGHTING	PERCENTAGE CHANGE COMPARED WITH THE CORRESPONDING PERIOD OF THE PREVIOUS YEAR							
		1962				1963			
		1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
Cost of living index[1]	842	2.9	4.7	0.8	0.3	4.8	2.2	2.2	3.8
of which:									
Foodstuffs	327	4.6	7.8	4.5	2.4	7.2	0.3	0.9	5.1
Housing	203	0	0	0	0.9	4.7	5.0	4.3	1.5
Clothing and footwear	88	0.7	0.5	2.1	4.7	0.3	2.9	2.0	2.3
Medical and health services	48	0	0.4	− 0.4	1.1	2.8	4.4	4.7	4.0
Leisure pursuits and transports	124	4.4	3.9	4.1	3.6	2.9	1.3	1.9	2.8
Wholesale prices index	1,000	2.2	3.9	2.8	2.8	2.2	− 1.0	2.7	6.3
Food products	286.7	0	3.4	− 0.3	0	6.4	− 6.5	4.8	15.3
Raw materials	216.5	1.4	15.0	0	− 0.6	− 0.4	0.8	1.3	2.5
Finished products	496.8	− 1.8	− 1.7	− 1.5	− 1.2	1.4	1.7	2.2	3.1

1. Excluding direct taxes and social charges.

Source: Maandschrift van het C.B.S.

16. Wages per worker (including social security contributions) increased in 1963 by 8 per cent, the same rate as in 1962. The overall impact on unit costs was about the same as in 1962.

17. The agreement reached on 29th October, in the Labour Foundation between representatives of labour and management was approved on 5th November, by the Economic and Social Council and ratified on the following day by the Government. Its provisions were as follows:

— a 5 per cent wage increase with effect from 1st January, 1964, to be followed by a second 5 per cent increase upon renewal of the collective agreements and by 1st April at the latest;
— the possibility for some firms of granting larger increases in order to regularise "black" earnings (these increases must, however, be kept within limits);
— two extra holidays may be granted, but in this case the wage increases must be reduced from 10 per cent to 9.2 per cent;
— the minimum weekly wage is fixed at Fl. 100 for male workers over 25 years old (this will affect a number of workers, mainly in banks, insurance companies and transport services, whose wages are at present below this minimum).

18. On 1st January, the wages of civil servants were also raised (+ 10.6 per cent) together with a number of social security allowances (+ 12 per cent). In total, allowing for the carry-over from the preceding year of increases which may be granted to offset the rise in rents, and for wage drift which it seems impossible to suppress completely, wages per worker may increase in 1964 by some 16 per cent[1].

The money and capital market

19. In spite of mopping-up operations by the Central Government, liquid funds grew more rapidly in 1963 than in 1962 (Fl. 2,000 million compared with Fl. 1,400 million). Liquidity in the private sector was more abundant, while at the same time there were larger net sales of foreign exchange. To counter this, the central authorities carried out a mopping-up operation. Pressure on the money market remained limited. The policy of the Central Bank was to try to avoid the banks' selling foreign exchange to it in order to overcome temporaty shortages of liquidity. It has therefore tried to relieve temporary strains by open-market operations and by altering compulsory minimum reserve ratios[2].

20. Public issues on the capital market in 1963 were of the same order as in 1962 (Fl. 1,700 million) but in 1963 the public sector was

1. Wage increases under the new collective agreements which have been approved during the first quarter of 1964 by the Labour Foundation amount to between 11.5 and 12 per cent.

2. Compulsory minimum reserve ratios are fixed each month by the Central Bank according to the state of the money market.

TABLE 5. CHANGES IN LIQUID ASSETS

Millions of guilders.

	1962	1963
Creation of liquid assets in the public sector	+ 643	− 115
Central Government	+ 242	− 476
Local Government	+ 401	− 361
Creation of liquid assets in the private sector	+ 675	+ 890
Miscellaneous sources of liquid asset creation	− 43	+ 374
Total liquid assets created within the country	+ 1.275	+ 1.149
Net sales of foreign exchange by the private and public sector to the banks	+ 134	+ 881
Grand total of liquid assets created	+ 1.409	+ 2.030

Source: Netherlands Bank.

almost the only seeker of funds, borrowing 91 per cent of the total compared with 36 per cent in 1962. The following points should be borne in mind in this respect:

— a substantial proportion of the long-term external finance borrowed by firms is obtained not through public issues on the capital market but is borrowed directly from institutional investors (insurance companies, pension funds, etc.);

— the share of the public sector in the demand for capital averaged 60 per cent from 1956 to 1961; the two years 1962 and 1963 depart considerably therefore from the average, the first being below, the second above;

— the sharp reduction in long-term borrowing by the private sector in 1963 in relation to 1962 is mainly due to the fact that in 1962 the Philips Company issued a loan of which Fl. 381 million was subscribed by Netherlands residents.

21. In the course of the year there was a rise in the level of interest rates (bond rates, for example, rose from 4.24 per cent in December 1962 to 4.69 per cent in December 1963). This development is bound up with several factors: the possibility which local authorities now have to borrow directly from the capital market, apprehension caused by the wage decisions, the size of the loans contracted by the Company exploiting the gas of Groningen, and a temporary fall in deposits with savings banks.

22. Issues of foreign loans, which amounted to Fl. 230 million in 1962, were virtually prohibited in 1963, and totalled only 3.6 million. The authorities were anxious to facilitate the consolidation of the floating debt of the municipalities; at the same time they considered that the trend of the balance of payments did not justify any encouragement of these capital exports.

TABLE 6. PUBLIC ISSUES ON THE CAPITAL MARKET

Millions of guilders.

	1961	1962	1963
Central Government	643.0	297.7	996.2
Local Government and public bodies	9.9	5.0	29.7
Bank of the Netherlands Municipalities	247.9	292.2	497.5
Private sector	224.7	830.9	138.5
of which:			
Industry	175.0	585.5	58.4
Abroad	536,6	229.6	3.6
of which:			
Netherlands Antilles	—	50.0	0.9
Total	1,662.1	1,655.4	1,665.5

Source: Central Bureau of Statistics.

ECONOMIC POLICY

23. From Autumn 1963 onwards economic policy in the Netherlands tended to become increasingly one of restraint. The faster growth of demand in the second quarter and the announcement of the October wage agreements gave rise to fears that equilibrium would be upset. The authorities therefore instituted a set of measures designed to ease the situation of the labour market and to influence both supply and demand. These measures were backed up by selective action in the sphere of prices to limit the impact of the rise in labour costs.

24. After withdrawing in January 1963 the restrictive measures taken in 1962 the monetary authorities adopted a neutral attitude for a large part of the year. However the expansion, which they judged too rapid, of bank credit to the private sector (+ 11.3 per cent from December 1962 to September 1963 compared with + 8.7 per cent in the same period of 1962) and the faster growth of overall demand persuaded them to revise their policy, the main concern of the Central Bank being to avoid fostering an increase in prices by tolerating an increase in liquidity in excess of the needs of the growth of national income in real terms.

25. In mid-October the Central Bank decided to reintroduce a ceiling for short-term credit by commercial and agricultural banks, and from September to the end of the year credit was not allowed to exceed by more than four per cent the average level for the first half of the year. If this limit were surpassed the banks were required to pay into a special account with the Central Bank a non-interest-yielding sum corresponding to the amount of excess credit. In practice, this ceiling was exceeded in November and December, and the banks had therefore to make such penal deposits with the Central Bank. For the

first four months of 1964 — when there is a seasonal credit expansion — the permissible increase in credit will be five per cent compared with the average during the first half of 1963. Up to the present the grant of medium and long-term credit to the private sector has not been subject to the restrictions, but the monetary authorities are keeping a close watch on the situation. A further measure to curtail credit was the increase in the discount rate from 3.5 to 4 per cent decided on 6th January, 1964.

26. The 1963 Budget estimates as laid before Parliament showed a reduction in the overall deficit of Fl. 241 million compared with the probable outturn of the 1962 budget. But the growth of certain items of expenditure during the year, mainly increases in wages, pensions, and transfer payments, and the advance redemption of debts owed to the Export-Import Bank and the Economic Co-operation Administration have swollen the deficit. When the 1964 budget was being drawn up it was thought that it would be of the same order of magnitude as in 1962 (Fl. 1,500 million). However the trend of cash receipts in the closing months of 1963 suggests that it will finally be much below this figure. The cash deficit, which includes advance redemption of a debt to the United States of Fl. 250 million, was smaller than in 1962, Fl. 1,000 million compared with 1,300 million. The management of the public debt in 1963 was deflationary, the Treasury borrowing Fl. 400 million more than was needed to cover the cash deficit. Three long-term loans were floated on the market to a total amount of Fl. 966 million.

27. Laid before Parliament in September the budget for 1964 allowed for a deficit of the order of Fl. 1,600 million. In their desire to make a greater effort to encourage construction, while using the budget to exert deflationary pressure, the authorities did not make immediately the tax cuts they hope to make during this legislature, and which the automatic increase in tax revenue would permit. Furthermore, the budget expenditures with a direct influence on the economy were toincrease less quickly than national income (7.2 compared with 8.5 per cent at current prices). The cash deficit to be covered was estimated at Fl. 1,700 million of which 1,000 million would be found on the capital market. Since 500 million needed for the repayment of domestic loans was included in this sum, the net demand on savings is estimated at Fl. 500 million. This estimate may well be upset, however, by the impact on expenditure and receipts of the wage and salary increases due in 1964, whose size had not been foreseen when the budget estimates were drawn up, and by the action taken since then to lessen the possible disequilibrating effects of these increases on overall demand in 1964 and to ease the tightness of the labour market. Early in October for example, the Government decided to postpone some of the investment it makes directly, or which it controls by grants or financial guarantees, up to an amount of Fl. 100 million. This measure will not however apply to housing construction.

Tableau 7. CENTRAL GOVERNMENT'S BUDGET

Millions of guilders.

	1962	1963		1964
	PROVISIONAL RETURNS	BUDGET ESTIMATES	PROBABLE RESULTS	BUDGET ESTIMATES
Ordinary budget:				
Expenditures	9,290	9,531	9,852	10,413
Revenues	9,803	10,359	10,217	11,097
Balance	+ 513	+ 828	+ 365	+ 684
Extraordinary budget:				
Expenditures	2,271	2,141	2,399	2,443
Revenues	274	374	486	379
Balance	− 1,997	− 1,767	− 1,913	− 2,064
Total budget:				
Expenditures	11,561	11,672	12,251	12,856
Revenues	10,077	10,733	10,703	11,476
Balance	− 1,484	− 939	− 1,548	− 1,380[1]

1. Taking into account additional expenditures resulting inter alia from Bills not yet voted, the deficit amounts to Fl. 1,628 millions.

Source: General Expose of the Budget for 1964.

Table 8. IMPACT OF BUDGETARY EXPENDITURE ON THE ECONOMY

	1962	1963	1964
Total budgetary expenditure *(millions of guilders)*	11,561[1]	12,277[1]	13,077[2]
Expenditures not affecting the economy[3] *(millions of guilders)*	1,484[1]	1,729[1]	1,707[2]
Total budgetary expenditures affecting the economy *(millions of guilders)*	10,077[1]	10,548[1]	11,370[2]
Increase in these expenditures compared with the previous year *(percentage)*	+ 8.2	+ 4.7	+ 7.8
Increase in national income compared with the previous year *(percentage)*	+ 6.2	+ 8.0	+ 8.5

1. Probable out-turn.
2. Budget estimate.
3. According to the Finance Ministry's definition. For example, repayment of public long-term debt, advances under the Housing Law, payment to the I.M.F., payments designed to put certain pension funds on a sounder footing.

Source: Ministry of Finance.

In the first instance, it was to apply solely for a period of six months ending in April, but in February it was extended for a further six months. Furthermore, a bill was voted in Parliament in March to increase taxes

on tobacco, petrol, and diesel motor vehicles from April 1964. In total, the deficit is expected to be much smaller than forecast.

28. In 1963, the local authorities relied less than in the previous year on monetary means of financing. Their net recourse to the capital market exceeded by nearly Fl. 600 million the amount borrowed in 1962, which had been exceptionally low (their share in total demand for capital was then 10 per cent compared with an average of 31 per cent for 1956-1961). The fact that they are drawing more heavily on the capital market is the result of increased investment.

29. The central authorities now have a legislative arsenal enabling them to control more closely the capital spending of local authorities. In general investments may no longer be financed by monetary means. Furthermore, if the economic trend so requires, a ceiling can be put on the total of loans for more than one year that the local authorities may obtain. Lastly, if there is pressure on the capital market the Ministry of Finance can order all borrowing to be centralised. As a result of this legislation, the local authorities have had to postpone some of their investments planned for the period from November 1963 to October 1964. The amount in question, fixed at 5 per cent, totals some Fl. 135 million.

30. Various measures adopted or proposed in Parliament in the last months of the year are designed to augment the supply of labour i.e., a one or two months' reduction of military service, faster progress towards equal pay for men and women. Despite the growth of its labour force, the construction industry has undergone serious strains which have prevented it from achieving the desired objectives. Measures to attract more labour to this industry have been put before Parliament, such as deferment of military service, priority for building workers wishing to become house-owners, etc.

31. The authorities feel some concern that the higher cost of labour may be used as a pretext for an exaggerated rise in prices in 1964, which would come on top of rises resulting from agricultural policy decisions, a possible increase in certain indirect taxes and rents, and the expected rise in import prices. They have therefore decided that only the first 5 per cent wage increase may be passed on in prices. The prices of some items have been fixed (household coal, dairy produce, bricks, bread, etc.). In addition, the authorities abolished certain restrictions on meat imports in December and January in order to exert pressure on domestic prices.

Short-term and Medium-term forecasts

32. Since 1945 the Central Planning Bureau has regularly drawn up forecasts for the coming year. The model used in making these forecasts was developed for the first time in 1955 and then revised in

1961[1]. It is based on a number of relationships observed in the past between the trends of the most significant economic variables. The model for 1961 contains eleven " behavioral " equations of which four relate to the principal uses of production (consumption, private investment, stock formation, exports) two to production factors (demand for labour and demand for imported products) one to employment, and four to prices.

33. In the course of 1963 the Netherlands Authorities asked their research services to consider the possibility of adding " multi-year " forecasts to their short-term forecasts. A forecast covering the period 1950-1970 had been drawn up in 1951[2], but was intended simply as an academic exercise. The current work is meant to go into much greater detail. This action taken by the authorities fulfils moreover a public need, since both employers and wage-earners seem more and more convinced of the usefulness of medium-term forecasting of the overall economic trend, especially to guide investment decisions or wage negotiations.

34. The methods used are still in a very experimental stage. Only the following particulars can be given at the present time:

— the forecasts will be purely indicative, and no specific means of implementing them will be described;
— they will probably cover a five-year period, but will be revised every year so that the final year of the exercise will be shifted forward: for example, the initial work will cover the period from 1966 to 1970 and as a result of the 1966 revision, there will be a new forecast for 1967 to 1971, etc.
— the sole responsibility for drawing up the medium-term forecasts will lie with the Central Planning Bureau in close co-operation with the Central Planning Committee which consists of representatives of the Government, management and labour, and independent experts.

II. FORECASTS FOR 1964

35. In accordance with the usual practice, macro-economic forecasts for 1964 were drawn up by the Central Planning Bureau in September 1963. But the wage decisions taken on 7th November, 1963, which have already been described, and the recent trend of investment called the validity of these forecasts into question. The calculations

1. For details of this method see "Central Economic Plan, 1961", Central Planning Bureau — The Hague, August 1961.
2. Central Planning Bureau — " Een Verkenning der Economische toekomstmogelijkheden van Nederland 1950-1970 " (An inventory of economic possibilities for the Netherlands 1950-1970), The Hague, 1955.

TABLE 9. FORECASTS FOR 1964
CHANGES 1963-1964

Percentages.

	FORECASTS SEPT. 1963	FORECASTS FEBR. 1964
Wages and Salaries per head	8	16
Consumer prices	2	7
Resources (volume)		
G.N.P.	5.3[1]	5.1[1]
Imports (merchandise)	7.5	12
Uses (volume)		
Private consumption	4.5	6.5
Public consumption	1.5	1
Public investment	12	3.5
Private fixed capital investment	7	13
Total investment (including stock formation)	10	15.5
Exports (merchandise)	8	6
Balance of current payments	*Surplus* 500 million guilders	*Deficit* 1,000 million guilders

1. The amount of the G.N.P. in 1964 remains the same in the two sets of forecasts, but the growth rate has been slightly altered on the result of a different evaluation of the 1963 results.
Source: Central Planning Bureau.

were therefore re-done, and the results published in the Economic Plan for 1964.

36. A comparison of the new forecasts for 1964 with those made in September brings to light the items which will be affected most by the large increases due in 1964 and the distortions which these increases may introduce into the structure of economic equilibrium.

37. The following points emerge from this comparison:

i) The Netherlands experts do not think that the rise in incomes will lead to a greater growth of Gross National Product than had been forecast originally, since supply seems to be limited by available capacities (physical capacity and above all labour) despite the 1.5 per cent increase in the active population and a 4.5 per cent gain in productivity. The surplus of internal demand will therefore absorb some of the output which could have been exported and will lead to higher imports. According to the most recent forecasts industrial output should rise by 5 to 6 per cent, agricultural output by 4 per cent, building by 11 per cent, and services by 5 to 6 per cent.

ii) The pattern of demand should alter considerably. Generally

speaking the growth of internal demand in the private sector (consumption and investment) should speed up considerably, while in the public and external trade sectors it should be fairly strongly restrained. These developments are clearly the result both of spontaneous factors and of economic policy.

38. The spontaneous factors will be active mainly in private consumption which will naturally be stimulated by the large growth of incomes.

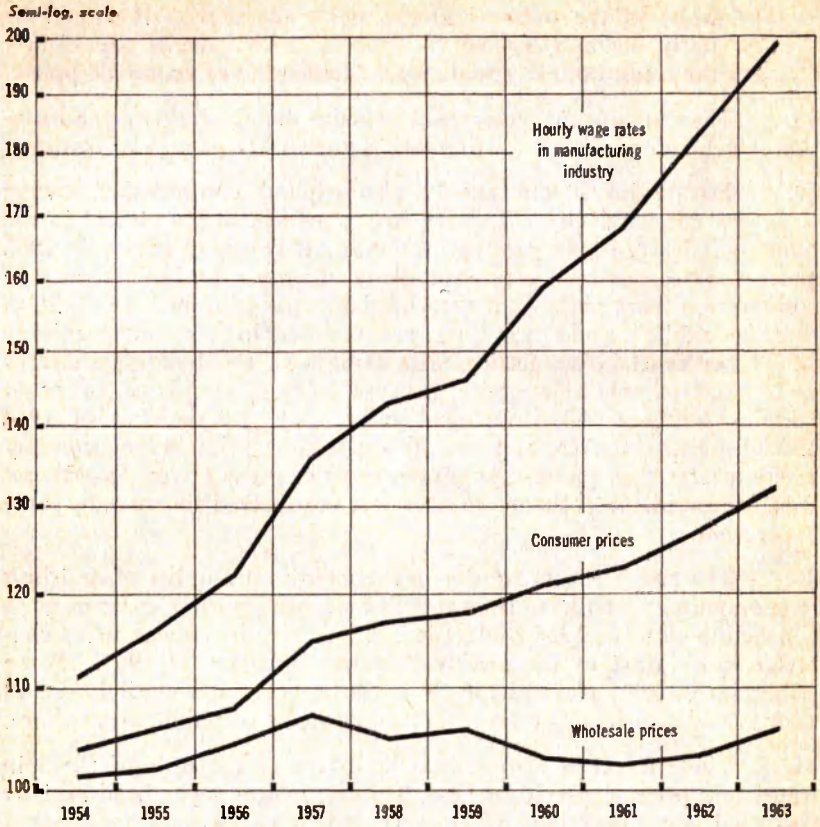
39. Private investment should also expand considerably, owing to several factors such as the very strong growth of investment in the building industry (+ 18 per cent) which is partly due to the lag in 1963 and made possible by a greater elasticity of supply, and the large-scale construction work started on the Groningen gas pipeline. In addition there should be a rapid overall rise in investment in plant and machinery (+ 13 per cent) in connection with outlays in the building industry and in certain public services. Because of the shrinkage of profit margins however this investment drive may, by the end of 1964 and above all in 1965, run into financial difficulties in an economy where a large part (more than 50 per cent) of gross private investment is self-financed. Investment in transport is expected to grow by only 5 per cent.

40. The policy effects are due in the main to a number of decisions to economise, which have been or will be taken by the Government in connection with the 1964 Budget in order to give it a deflationary character in contrast to the merely "neutral" budget of 1963. Some public investments planned for 1964 will be postponed until 1965 and savings will also be made on certain other items of public expenditure.

41. These forecasts also reflect the extent of the upward trend in wages and prices expected in 1964. The rise in wages per head initially predicted was 8 per cent whereas according to the new forecasts it would be about 16 per cent. The rise in prices was in the first case 2 per cent and in the second case 7 per cent. It should be noted in this respect that the growth of prices and wages expected for 1964 departs appreciably from the trend over most of the preceding years. Only the 1956 and 1957 situation (when a very sharp upward price trend occured in connection with strong pressure from internal demand due to four successive years of rapidly rising wages) bears any resemblance to the developments expected in 1964 (see Diagram 3). It should further be noted that according to Netherlands experts the considerable price increases in 1964 will not be due solely to wage increase (though they will be mainly) since the rise in agricultural prices under E.E.C. agreements, higher rents and some higher indirect taxes are also partly responsible.

42. In conclusion, for the first time since the end of the period of reconstruction, and excepting the years 1956 and 1957, the balance of payments should show a sizeable deficit.

Diagram 3. WAGE AND PRICE MOVEMENTS
1953 = 100



Source: O.E.C.D. General Statistics.

III. PROBLEMS OF ECONOMIC POLICY IN 1964 AND THE PRESENT SITUATION WITH REGARD TO WAGE POLICY

ECONOMIC POLICY PROBLEMS IN 1964

43. In 1964 a number of measures, most of which have already been mentioned in preceding paragraphs, are due to come into force. The decisions taken at the Hague early in February are intended to reinforce these measures by exerting a restraining influence.

44. Supply should be stimulated, chiefly in the building industry, while various measures will be taken to curb demand. In the budgetary sphere, expenditure by central and local government will be less

than estimated in the budget, whereas extra revenue should result from the higher taxes on petrol and cigarettes. These budgetary decisions reflect the desire of the authorities to respond promptly to a change in the factors of economic equilibrium. These mostly concern investment (suspension of accelerated depreciation schemes for industrial equipment and of tax relief for new industrial building) whereas measures to restrain consumer demand remain limited. Apart from the increase in a number of indirect taxes already mentioned, decisions have been taken with respect to credit. On 2nd February the Netherlands authorities put up by 5 per cent the initial deposit for hire purchases of consumer goods, though it should be noted that such purchases account for only a small part of total private consumption. In addition, the Netherlands authorities expect there to be a spontaneous damping down of demand owing both to the rise in prices and the progressive rate of direct taxes. For their part, the banks have decided to restrict private credit. Taking into account these measures, the expected balance-of-payments deficit and the effect of a neutral policy for financing public expenditure, it is possible that liquid resources may by the end of the year constitute only 40 per cent of the net national income compared with 45 per cent in 1963.

45. The authorities are tightening their control over price rises to ensure that the extent to which wage increases are passed on in prices will not exceed the authorised 5 per cent. A Bill has been tabled in Parliament to enable official action to be taken against increases, and in future not only at the level of the industry concerned. Moreover the authorities propose to take action shortly against certain cases of vertical price-fixing in transactions between firms. In the wages sector the Netherlands authorities have important means of intervention which they could use if the growth of wage incomes appreciably exceeded the level at present foreseen. However, according to the latest official statements on 2nd February, it seems that there will be no need to use them in 1964, and the Government prefers to keep them in reserve for use at a later stage, should the need arise.

46. The Netherlands authorities consider that the country should not encounter major difficulties in 1964 and that, in view of the measures described above, the new forecasts for 1964 should be fulfilled. In particular, they expect a slowing down of the growth of private consumption and of investment to take place at the end of 1964, and a moderate attitude towards wage claims by both management and labour if the external deficit proves larger than expected.

Wage policy

47. The events of recent months raise a number of issues with regard to the state of wage policy in the Netherlands. At a time when a number of Member countries, especially France, the United Kingdom, and Italy, are trying to formulate such a policy, it is interesting

to ask what lessons may be drawn from the experience of the Netherlands.

48. The principle of the Netherlands scheme was to harmonize the growth of wages and the expansion of the economy. Originally this was to be done by way of a " controlled " policy, but from 1959 onwards a " differential " policy was adopted, whereby wages were to be determined in each industry as a function both of the overall rise in productivity and of the rise in productivity in the industry itself[1]. Despite some provisions for adjustment this new stage soon gave rise to practical difficulties. In point of fact, since the highest productivity rates are usually achieved in the same industries, it was foreseeable that after a number of years undue disparities would emerge between income levels in different industries. The criterion of productivity in a single industry could only therefore be valid in the short run and had after a shortwhile to be reviewed.

49. In November 1962 the following new procedure was adopted:

— Wage increases were no longer determined in relation to productivity by individual industry but in relation to the overall economic situation (state of the labour market, productivity, trend of wage costs abroad, situation of the balance-of-payments, etc.);

— The role of the Government was reduced, the responsibility for fixing wages now being vested in the first instance in labour and management organisations. Nevertheless, the authorities retain considerable powers under the new system. The " Labour Foundation " has the power to approve collective agreements in the light of the norms for the growth of overall wage rates compatible with the economic situation, as described in the half-yearly report of the Economic and Social Council[2]. If the Labour Foundation has approved an agreement which is not in keeping with the norms for the growth of wage rates, the "College of Mediators" can then advise the Ministry for Social Affairs to declare the agreement non-binding. If the Labour Fondation cannot reach an agreement, the matter is then decided by the " College of Mediators ". When the authorities consider that the trend of wages is endangering achievement of the basic aims of overall economic policy, they can impose a wage pause. Approval of collective agreements can then be suspended for a limited period, one month for example. This period is used to ask the Economic and Social Council to make a further report on the economic situation in order to bring home to both sides of

1. For particulars of this scheme, cf. the O.E.C.D. report on the Netherlands of April 1963.

2. This report must be approved by the Government.

industry the seriousness of the situation. If they then agree to change their position, the normal procedure is resumed. If they do not, the Government is empowered to take new measures; for example it may decide to freeze wages, which would automatically extend for a certain period the duration of all collective agreements, or it may decide to place the entire negotiating procedure under the direct authority of the "College of Mediators". Finally, the authorities can issue general directives about the permissible percentage increase in wages.

50. The decisions taken with regard to wages in 1963 are partly due to the institutional changes in 1962 but above all to the economic trends of recent years: for three years the Netherlands had had a very tight employment situation (unemployment being less than 1 per cent of the active wage-earning population). In 1963 signs of " overheating " appeared, especially in the building industry, as a result of demographic pressure (demand for housing), the rapid pace of industrialisation (industrial building), the effort to make up leeway after the winter, and the exodus (to the Federal Republic of Germany in particular) of frontier workers attracted abroad by high wages. This localised tension gradually spread throughout the economy. On the whole, the wage " explosion " in 1963-1964 is largely due to a factual situation which had already existed for some years.

TABLE 10. TRENDS IN UNEMPLOYMENT

As a percentage of all wage-earners.

1950	1951	1952	1953	1954	1955	1956	1957	1958	1959	1960	1961	1962	1963
2,8	3,2	4,6	3,3	2,3	1,6	1,2	1,5	2,9	2,2	1,4	1,0	0,9	0,9

Source: Central Planning Bureau.

51. That a tight employment situation should have led to very rapid increases in wages raises the issue as to how much manœuvrability there can be with a policy designed to co-ordinate the growth of wages with national priorities and not simply, even in the short run, to reflect the state of the market. Recent developments show that too much cannot be expected from a wage policy which is not combined with other economic policy measures to match supply satisfactorily to demand. An example from the past may serve to illustrate this point. At an early stage the volume of " black " wages led to a marked departure from the trend which would have resulted from the strict application of such a policy; and the 1963 agreements certainly imply a growth in wages capable of generating considerable economic imbalances.

TABLE 11. COMPARATIVE TRENDS IN PRICES, WAGES AND NATIONAL PRODUCT
(1953-63)

1953 = 100

	CONSUMER PRICES	HOURLY WAGE RATES	G.N.P. AT CONSTANT PRICES[3]
Netherlands	132	198	155
Germany (Federal Republic)	122	186[1]	186
Belgium	115	120[2]	136
France	153	213	162
Italy	132	177	179
Austria	130	167	173
United States	115	—	134
United Kingdom	133	157	130

1. 3rd quarter.
2. 1st quarter.
3. Provisional figures for 1963.

Source: O.E.C.D. Statistical Bulletin.

52. Any judgment on the results of wage policy in the Netherlands or interpretation of international comparisons of wage and price trends (Table 11) must allow for the particular circumstances of the Netherlands economy. Though the Netherlands enjoyed some advantages when formulating its wage policy, it also came up against serious obstacles in trying to apply it:

i) The advantages were essentially social and institutional in nature. The Netherlands had a coherent system of trade unions which could speak for the whole labour force, and it had become a recognised practice to hold "round table conferences" with representatives of the Government, the trade unions, and employers.

ii) The obstacles arose not only from the specific structure of the Netherlands (a small country closely dependent on international fluctuations and where the tendency from migrate is fairly strongly engrained in workers) but also from its situation at the end of the war. Price and wage levels in particular were considerably lower to begin with than in most of the neighbouring countries. The result was that in the long run a certain amount of leeway was bound to be made up in a context of closer economic integration. The increases decided on last autumn seem in this respect an ineluctable sign of international readjustment.

53. On the whole, recent events show that too much cannot be expected of a wage policy that is not accompanied by a set of measures

to bring supply closer into line with demand and, in particular, to make the labour market more flexible.

CONCLUSIONS

54. The trend of the Netherlands economy in 1963 was generally satisfactory, with the exception of the labour market. The wage decisions taken at the end of the year may however change considerably the conditions of economic equilibrium in 1964. There should be a faster growth than in the previous year of the Gross National Product, and of internal demand in particular, whereas the external trade deficit is likely to worsen. Financial equilibrium may also be strongly affected by these decisions, both directly, by the rapid rise in wages and prices, and indirectly, by the budgetary decisions taken since the November agreements to reduce inflationary tensions.

55. Events in 1963 and those foreseeable for 1964 prompt one to try to draw lessons from the Netherlands' experiment in wage policy. This policy must be seen against the general economic background. There is no doubt that in 1963 cyclical factors, such as the general scarcity of labour, " overheating " in the building industry, and bad weather outweighed policies based on national priorities. This development is largely attributable to shortages of labour and more generally to a pressure of demand noticeable for a number of years. There is also no doubt that the wage level in the Netherlands had remained below that of other countries and that a certain amount of leeway had to be made up. Lastly the wage " explosion " took place more easily because of the institutional changes made in 1962. Developments in the months ahead will provide touchstones for judging the current effectiveness of the Netherlands' wage policy. The attitudes of management and labour will be decisive in this respect, and it is to be hoped that they will show moderation if the economic situation (and the external trade balance in particular) tends to deteriorate too rapidly.

56. There is a fairly large degree of uncertainty about the trend of the internal situation in 1964 and about the policy applied by the Netherlands authorities. In particular, it may be wondered what the prospects are for the growth of investment in 1964 and above all what they will be in 1965. The self-financing capacities of firms will certainly be temporarily reduced by the rapid progress of wage incomes. It would also seem that only a faster modernisation of equipment will enable the Netherlands economy to achieve the higher productivity essential for the easing of the employment situation. It may therefore be wondered whether the present policy of the authorities, consisting to some extent in the restraining of investment (limitation of capital expenditure by central and local Government, stricter control of credit to private firms, withdrawal of

certain tax incentives for investors) may not accentuate the spontaneous tendency for investment to slow down. The Netherlands authorities expect moreover this slowing down to take place by the end of 1964 and deem it desirable as a move towards easing the labour market, which they feel to be imperative to restore internal and external equilibrium. However, a policy of encouraging public and private investment, accompanied by restraint of the growth of consumer demand, might enable the Netherlands economy to continue its expansion and to maintain its international competitiveness; but such restraint would probably, under the present circumstances, be difficult to achieve.

57. The forecasts for 1964 indicate a deterioration of external trade and a deficit on the balance of payments. With the contraction of liquidities, these developments will contribute in large measure to the restoration of internal equilibrium. Moreover, the Netherlands have enough foreign exchange reserves to finance, without major difficulties, any foreseen balance of payments deficit in 1964. However, the adaptation of Netherlands price and wage levels to the higher levels existing abroad may affect the equilibrium of external trade and also — in view of the steps to restore the balance of payments which will then have to be taken — the long-term growth rate of the Netherlands economy; this could however be avoided if internal demand was restrained in time to bring its growth into line with available capacity and the employment situation.

STATISTICAL ANNEX

TABLE I. PRODUCTION

	Unit or base	1961	1962
Indices of industrial production[1]	1953 = 100		
1. Total	Monthly	161	170
2. Mining and quarrying	averages	126	121
3. Manufacturing industries	»	161	170
4. Food, beverages and tobacco	»	134	137
5. Textiles	»	132	133
6. Basic metals	»	193	205
7. Metal products	»	187	199
8. Chemical industries	»	179	202
Building activity[2]	Total for the period		
9. Buildings started	»	101,768	91,880
10. Buildings completed	»	82,687	78,375
11. Buildings in construction	Total of end of period	108,799	122,272
Gross investment in fixed assets[2]	Millions of guilders		
12. Private sector	Total for the period	8,900	9,328
13. Public sector	»	1,951	2,271
14. Total	»	10,851	11,599
Consumption indices[1]	1953 = 100		
15. Volume of consumers expenditure	Monthly averages	146	152
16. Retail sales	»	177	191
Labour Market[2]	1953 = 100		
Index of employment in manufacturing and mining industries	Average of the period		
17. Total	»	113	115
18. Chemicals	»	132	137
19. Mining	»	94	92
20. Metal products	»	125	128
21. Textiles	»	99	97
22. Food	»	110	110
23. Number of wage and salary earners in industry	Thousands; end of period	1,080	1,095
Unemployment[2]	Thousands		
24. Male	Average	27,3	25,6
25. Female	of the period	4,0	4,7
26. Total	»	31,3	30,3
27. Male unemployment (adjusted for seasonal variations[1])	»	31	30
Jobs vacant[2]	Thousands		
28. Male	end of period	77,4	83,8
29. Female	»	41,1	38,3
30. Total	»	118,5	122,1
31. Total (adjusted for seasonal variations)	»	119	122

1. O.E.C.D. Statistical Bulletin.
2. Maandschrift van het Centraal Bureau voor de Statistiek.

1963	1962				1963			
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
177	164	167	165	180	166	177	176	193
121	120	121	119	124	119	121	122	123
177	163	168	166	181	165	177	176	192
143	121	134	135	160	124	141	144	165
146	139	128	129	138	144	143	141	155
230	205	199	206	206	221	235	226	240
203	192	198	195	211	187	203	204	219
216	200	203	200	205	204	220	214	226
	19,285	22,425	24,860	25,310	13,602	29,458	25,196	25,510
	15,040	19,676	19,273	24,386	6,727	23,339	21,536	27,921
	113,040	115,785	121,370	122,272	129,144	135,225	138,803	136,292
	2,086	2,549	2,341	2,352	1,873	2,837	2,757	
	396	583	633	659	316	617	754	
	2,482	3,132	2,974	3,011	2,189	3,454	3,511	
	140	153	152	165	149	161	162	
	171	193	188	213	187	211	207	
	114	114	115	115	115	114	115	
	136	136	138	139	140	139	140	
	92	93	92	92	92	91	91	
	127	127	128	128	128	126	128	
	98	96	97	97	97	96	96	
	109	110	112	111	110	109	111	
	1,091	1,085	1,102	1,102	1,121	1,107	1,122	
27.1	31.8	19.3	21.3	30.1	44.0	19.1	19.6	25.7
4.8	4.2	3.4	5.4	5.6	5.2	3.7	5.2	5.3
31.9	36.0	22.7	26.7	35.7	49.2	22.8	24.8	31.0
32	27	31	32	33	37	31	30	28
84	77.6	98.5	89.7	69.3	71.3	96.9	91.4	76.0
39	38.4	43.4	37.3	33.8	36.5	44.9	39.3	36.1
123	116.0	141.9	127.0	103.1	107.8	141.8	130.7	112.1
127	125	124	121	118	115	121	123	126

TABLE II. PRICES

	UNIT OR BASE	1961	1962
1. Wholesale price index	1953 = 100	102.5	103.3
2. Cost of living index	Monthly averages	123	127
3. Hourly rate index	»	168	183

* Change of base and weighting.

TABLE III. MONEY

	UNIT OR BASE	1961	1962
1. Money supply[1]	Millions of guilders	12,179	13,100
Credit granted by the banks[3]	End of period		
2. to the private sector	»	7,580	8,680
3. to the central Government	»	4,120	4,770
4. to the local Government	»	920	930
Deposits with the commercial banks[1]			
5. Total	»	7,878	8,476
6. of which: sight deposits	»	3,738	3,879
Interest rates[4]	Percentage		
7. Discount rate	End of period	3.50	4.00
8. Call money rate	»	1.11	1.24
9. Rate on 3 months Treasury bonds	»	1.32	1.98
Bond yields[4]	Average of the		
10. On 2.5 and 3 per cent Government irredeemable debt	last month of period	4.22	4,37
11. On 3.5 per cent industrial bonds	»	4.18	4.42

TABLE IV. FOREIGN

	UNIT OR BASE	1961	1962
1. Gold and foreign assets held by the Central Bank	Millions of U.S. $ end of period	1.715	1.743
Foreign trade			
2. Imports c.i.f.	Millions of U.S. $	426	446
3. Exports f.o.b.	Monthly average	359	414
4. Balance	adjusted for	– 67	– 64
5. Imports c.i.f.	seasonal variations		
6. Exports f.o.b.	»		
Volume indices	1953 = 100		
7. Imports	Monthly averages	212	224
8. Exports	»	193	207
9. Terms of trade	»	102	102

1. O.E.C.D. Statistical Bulletin.
2. Maandschrift van het Central Bureau voor de Statistiek.
3. International Financial Statistics.
4. Maandstatistiek van het Financiewesen van het Centraal Bureau voor de Statistiek.

AND WAGES[1]

1963	1962				1963			
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
106.0	102.7	105.3	102.3	102.8	105.1	104.6	105.3	109.1
132*	125	127	127	128	131*	133	131	132
198	177	181	184	191	196	198	199	200

AND BANKING

1963	1962				1963			
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
14,341	11,897	12,610	12,673	13,100	12,985	13,873	13,986	14,341
10,210	7,990	8,160	8,320	8,680	9,040	9,320	9,730	10,210
4,920	4,100	4,700	4,680	4,770	5,040	5,320	5,300	4,920
1,080	680	790	880	930	780	800	900	1,080
9,353	8,420	8,717	8,704	8,476	9,063	9,165	9,583	9,353
4,176	3,752	3,952	3,968	3,879	3,913	4,214	4,325	4,176
3.50	3.50	4.00	4.00	4.00	3.50	3.50	3.50	3.50
1.56	1.59	1.69	1.10	1.24	1.27	1.14	1.24	1.56
2.25	1.81	2.32	1.57	1.98	1.88	1.87	1.89	2.25
4.77	4.29	4.48	4.40	4.37	4.31	4.30	4.33	4.77
4.63	4.13	4.40	4.32	4.42	4.25	4.16	4.27	4.63

TRADE[1]

1963	1962				1963			
	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.	1st QTR.	2nd QTR.	3rd QTR.	4th QTR.
1,899	1,745	1,795	1,781	1,743	1,750	1,838	1,853	1,899
497	459	440	433	450	465	492	489	543
414	372	372	371	412	379	419	418	438
− 83	− 87	− 68	− 62	− 38	− 87	− 73	− 71	− 105
	450	443	448	444	461	496	502	532
	375	389	381	386	386	438	426	407
248	228	129	219	230	234	246	244	269
225	205	200	201	222	204	232	227	235
102	102	103	101	103	104	101	102	102

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